hedged_blend_legacy_options

portfolio strategy | family: portfolio | status: reference | derived from `hedged_blend`

What this strategy does

The blend with the options book as originally reported (dead quotes carried forward) -- an overstated upper bound

Why it should work. Shows how much of the blend's Sharpe came from the options sleeve's quote-marking convention.

Design notes (from the strategy's source file).

PortfolioStrategy: a fixed-weight, daily-rebalanced blend of other registered strategies.

A sleeve weight is a multiple of fund NAV allocated to that strategy's own sizing: weight 1.0 runs the strategy exactly as backtested on the whole NAV, 0.8 runs it 20% smaller. Weights need not sum to one -- the sleeves are low-correlation books that each use only part of their capital (the options sleeve spends at most its premium budget, the equity sleeve is margin-financed long/short), so they can share one NAV. Returns compound daily: r_p = sum(w_i r_i), NAV_t = NAV_{t-1} (1 + r_p).

Sleeve results come from the strategy registry itself (re-run in-process, ~seconds), so the blend always reflects the current sleeve definitions. Days with no sleeve activity (options in 2011, where the source file is corrupt) contribute zero for that sleeve.

parameter	value
w_s9b_inverse_vol	0.8
w_opt_kelly_cap20_legacy	1.15

Performance

metric	hedged blend legacy options	market (CRSP VW)
Annualized return	14.25%	9.94%
Annualized volatility	4.18%	19.35%
Sharpe (NAV-pct)	3.21	0.59
Sortino	5.28	
Max drawdown	-9.9%	-55.5%
Calmar	1.44	
Final NAV ($10M start)	$133,847,106	
Worst day	-2.66%	
% positive days	56.6%	
Sharpe 1996-2001	2.79	
Sharpe 2002-2007	4.64	
Sharpe 2008-2013	2.61	

Correlation of daily returns with the market: **0.10**.

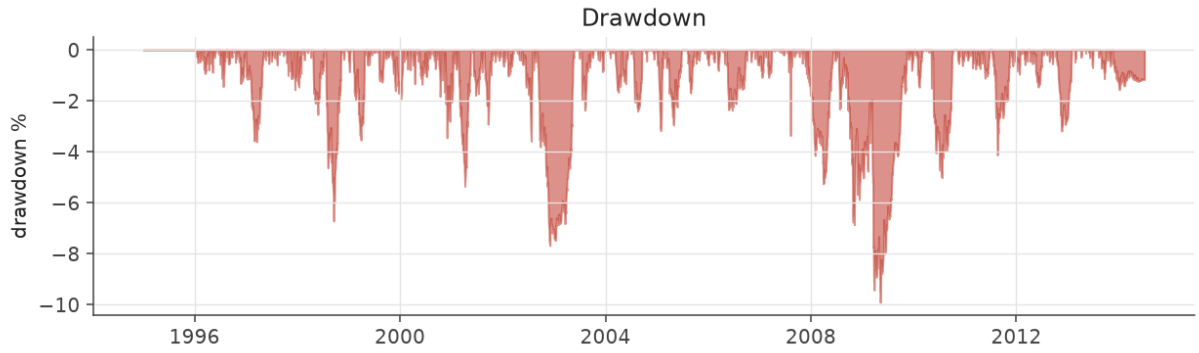
• best Sharpe among portfolio: `hedged_blend_s10` (2.5); this one: 3.21

• best return among portfolio: `hedged_blend_s10` (0.124); this one: 0.142

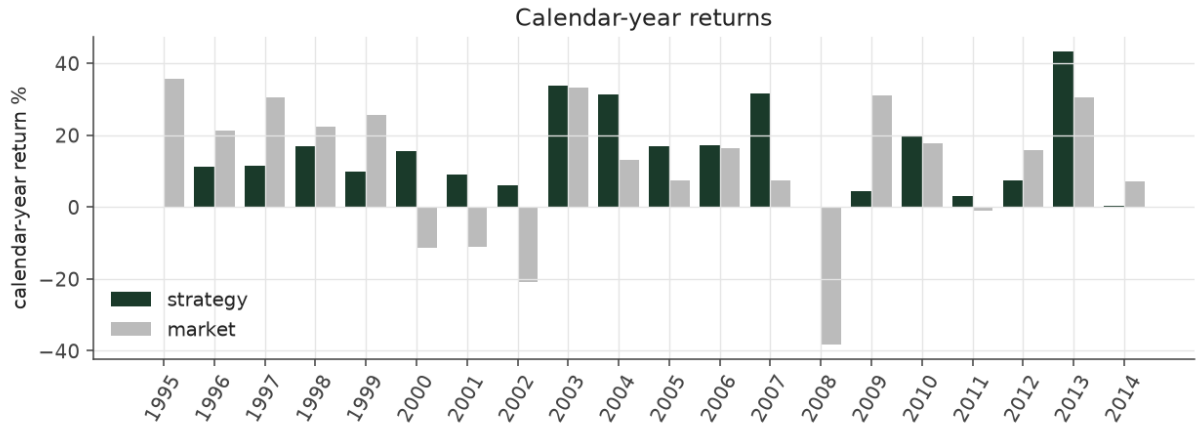
• best Calmar among portfolio: `hedged_blend_s10` (0.802); this one: 1.44



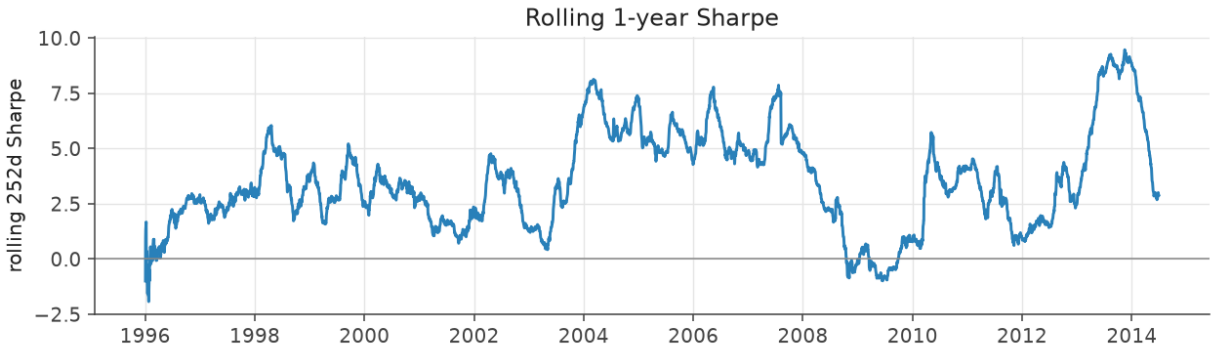
NAV (log scale)



Drawdown from running peak

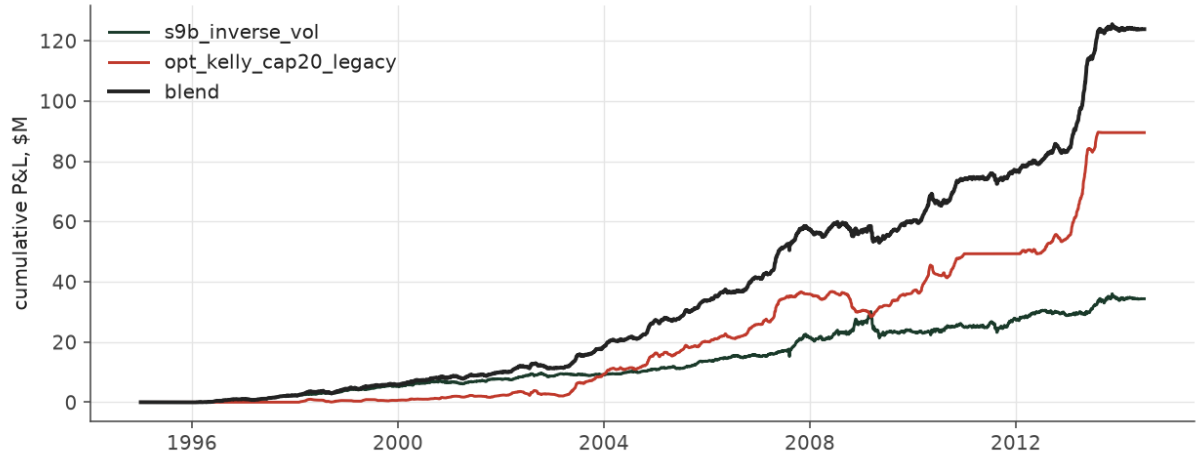


Calendar-year returns



Is the edge stable, or concentrated in a few years?

Where the return comes from



Each sleeve's contribution to the blend's cumulative P&L

sleeve	weight	pnl M	share of pnl
s9b_inverse_vol	0.80	34.34	27.7%
opt_kelly_cap20_legacy	1.15	89.51	72.3%

• Correlation between the sleeves' daily returns: **-0.05**.

• Blend market beta 0.022, correlation to the market 0.10.

Return, volatility and Sharpe of the blend are in the Performance table above; the cross-strategy report (`python -m pead compare`) shows the full weight frontier, the walk-forward (out-of-sample) weights and the volatility-target table.